Balance sheet as on 31st December 2017

Liabilities	₹	Assets	₹
Capital accounts:		Sundry assets	80,000
Brindha	30,000		
Praveena	40,000		
Profit and loss appropriation A/c	10,000		
	80,000		80,000

On 1st July 2017, Brindha introduced an additional capital of ₹ 6,000 and on 1st October 2017, Praveena introduced ₹ 10,000. Drawings of Brindha and Praveena during the year were ₹ 5,000 and ₹ 7,000 respectively. Profit earned during the year was ₹ 31,000.

Solution

Particulars	Brindha		Praveena	
	₹	₹	₹	₹
Capital on 31st December 2017		30,000		40,000
Add: Drawings		5,000		7,000
		35,000		47,000
Less:				
Additional capital	6,000		10,000	
Profit already credited*	9,000	15,000	12,000	22,000
Capital on 1st January 2017		20,000		25,000

* Profit credited = Profit earned ₹ 31,000 – Balance profit as per balance sheet ₹ 10,000 = ₹ 21,000. This amount is distributed in their profit sharing ratio of 3:4.

Calculation of interest on capital:

Brindha:

On opening capital for 1 year $= 20,000 \times \frac{6}{100}$ = ₹ 1,200

On additional capital for 6 months $= 6,000 \times \frac{6}{100} \times \frac{6}{12}$ = ₹ 180

Total interest on capital ₹ 1,380

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